

Manitoba



Residential Tenancies Commission
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SCANNED

RECEIVED

JUN 30 2023

June 22, 2023

Thorwin Properties
1274 Archibald Street
Winnipeg MB R2J 0Z3

Via Regular Mail

**Re: Appeal to the Residential Tenancies Commission of the Residential
Tenancies Branch's Order dated December 12, 2022**
Address: 585 Corydon Avenue, Winnipeg MB

Please find enclosed a signed copy of the Order and Reasons for Decision from the Residential Tenancies Commission dated June 22, 2023 regarding 585 Corydon Avenue, Winnipeg, Manitoba.

Yours truly,



Nunziata Masi
Deputy Chief Commissioner
Residential Tenancies Commission
Encls.

SCANNED**RECEIVED**

ORDER NO: W2022-005191-010A JUN 30 2023

IN THE MATTER OF: An appeal against the Residential Tenancies Branch Officer's Order pursuant to Sections 123 of The Residential Tenancies Act.

BETWEEN

Thorwin Properties
1274 Archibald Street
Winnipeg MB R2J 0Z3

LANDLORD**AND**

E. Rosner
10 - 585 Corydon Avenue
Winnipeg MB R3L 0P3

TENANT

ORDER

ADDRESS OF RENTAL UNIT: 10 - 585 Corydon Avenue, Winnipeg MB R3L 0P3

After considering the information and evidence submitted by the parties, the Residential Tenancies Commission hereby orders that, effective July 1, 2023, the rent for the rental unit can increase as follows:

From:

Basic Rent:	\$921.00
Total Rent	\$921.00

To a Maximum of:

Basic Rent:	\$1,218.00
Total Rent	\$1,218.00

THE RESIDENTIAL TENANCIES COMMISSION
1650 - 155 Carlton Street, Winnipeg MB R3C 3H8
Telephone: 204-945-2028
Toll-Free: 800-782-8403

DATED THIS 22nd day of June, 2023



Nunziata Masi
Deputy Chief Commissioner

THE DECISION HEREIN IS FINAL AND BINDING UPON THE PARTIES AND IS ENFORCEABLE

File Number: RTC-2023-000005

Address of Complex: 585 Corydon Avenue, Winnipeg, MB

Panel: Nunziata Masi, Deputy Chief Commissioner

In Attendance

Landlord: Thorwin Properties By telephone

Represented by: Darren Wilcox, Property Manager By telephone

Emma Pinpin, Accounting Manager By telephone

Tenant / Appellant: Evan Rosner – unit 10 In person

Date of Hearing: May 23, 2023, at 9:30 a.m.

REASONS FOR DECISION:

I. Appearances

The landlord, Thorwin Properties, was represented by its property manager, Darren Wilcox and by accounting manager, Emma Pinpin. The landlord's representatives both came to the hearing by telephone and gave evidence under oath.

The tenant, Evan Rosner, attended the hearing in person and gave evidence under oath.

II. Issues

1. Should I consider the tenant's late and e-mail filed evidence and submissions.
2. Should I adopt the findings of the Residential Tenancies Branch (the Branch) regarding the order under appeal.

III. Overview

The landlord applied to the Branch for an above guideline rent increase of 36.07 per cent.

The Branch approved a maximum rent increase of 32.30 per cent. This had the effect of increasing the rent for this unit from \$921 per month to \$1,218 per month, effective July 1, 2023.

The tenant appealed to the Residential Tenancies Commission (the Commission).

For the reasons that follow, I confirmed the decision of the Branch.

IV. Legislation

Excerpts from the relevant legislation are set out in Appendix A. In this decision, *The Residential Tenancies Act* will be referred to as the "*Act*" and the *Residential Rent Regulation* will be referred to as the "*Rent Regulation*".

V. Evidence and Findings

i) The Tenant's Written Materials

The Commission has practices and procedures in place regarding its hearings (s. 165(3) of the Act). These include that if a party wants to rely on written materials, they have to file copies of those materials, in triplicate, at least five working days before the hearing. Parties are told about this policy when they file their appeal and copies of this policy are given to parties along with notice of the hearing.

The tenant e-mailed materials three working days before the hearing. He asked for me to consider the materials even though they were late and had not been filed in triplicate.

The materials the tenant wanted to rely on were largely the same as the materials he filed together with his notice of appeal with two differences. The first is that the tenant was no longer relying on written submissions where he cast aspersions on the owner of the landlord. The second was that his newer materials included a one page submission and three pages of email correspondence between him and a landlord representative about a variance application the tenant thought may result in a future withdrawal of tenant services.

The tenant explained that he filed the materials late and by e-mail because of an inadvertent oversight when he was reviewing the practices and policies of the Commission. The tenant questioned why there was a requirement to file materials in triplicate.

The landlord was opposed to me relying on the materials. The landlord questioned the relevance of the materials related to the variance application.

I considered the tenant's written materials when making my decision, despite the fact they were filed late and were not filed in triplicate. I cautioned the parties that I was concerned about the relevance of the tenants' arguments about the variance application. Ultimately, and as detailed further below, the landlord's variance application was not relevant to the issues I needed to decide.

The reason I considered the written materials is because most of it was already part of the materials and had been provided to the landlord because they formed part of the tenant's notice of appeal.

There was no reason to exclude the one page of written submissions the tenant wanted to rely on regarding the variance application because there was nothing preventing him from reading it into his oral submissions.

There was nothing to suggest the landlord was prejudiced by receiving the materials two days late, in particular because the new materials the tenant wanted to rely on were not extensive.

There was no basis to find that the requirement for documents to be filed in triplicate and not emailed is unreasonable. The tenant provided no reason or explanation for why this was something he could not comply with. Decisions about whether to permit parties to e-

mail documents are made on a case by case basis depending on the circumstances relevant at the particular time. The Commission's decision to allow e-mailed materials this time does not mean that the accommodation will be made again in the future.

ii) Background

The *Act* and the *Rent Regulation* set out a comprehensive code for the regulation of rents.

Generally, a landlord can increase the rent they charge to a tenant by an amount prescribed in the *Act* and in the *Rent Regulation* (commonly referred to as the "guideline" amount). The guideline for rent increases in 2022 was zero per cent.

A landlord can apply to the Branch, in accordance with s. 123(2) of the *Act*, to increase the rent by an amount that exceeds the guideline amount (commonly referred to as an "above guideline rent increase").

The landlord applied to the Branch for an above guideline rent increase for this 11 unit complex.

The landlord's application is dated October 12, 2022. The landlord proposed an increase of 36.07 per cent with a date of first rent increase of February 1, 2023. The current reporting period identified on the application was April 1, 2021, to March 31, 2022, and the previous period was April 1, 2020, to March 31, 2021.

The landlord's summary information (form 3) was forwarded to the tenants of the complex for response.

The Branch considered the landlord's application and all responses received by tenants and issued Orders dated December 12, 2022, approving a maximum rent increase of 32.30 per cent. For this unit, this meant an increase in rent from \$921 per month to \$1,218 per month effective July 1, 2023.

The tenant appealed the Branch Order on January 3, 2023.

iii) Submissions of the Tenant

The tenant asked for the Commission to order that the landlord could not increase rent to more than the guideline amount of zero per cent.

The tenant had a number of arguments about why the landlord should not be allowed any above guideline rent increase, which are summarized as follows:

- The tenant's personal financial circumstances only permit him to allocate \$921 per month to rent. The increase in cost of living has made rent increases unaffordable for many, including the tenant.
- Government policy is meant to protect those in vulnerable financial circumstances, such as himself.
- The landlord has taken advantage of a loophole, "financial trickery", and a legal technicality by making an above guideline rent increase application.

- The provisions of the *Act* and the tenant protection afforded by the zero per cent guideline rent increase ought to supersede the landlord's ability to apply for an above guideline rent increase. Above guideline rent increases are contrary to the *Act*, unjust, unfair, and a miscarriage of justice,
- The landlord's rent increases have been made in bad faith, are unethical, are unfair, are greedy, and are contrary to their social responsibility.
- The capital expenditures the landlord relies on and has relied on in the past are not related to the tenant's unit. The tenant's unit does not have the amenities advertised for new renovated units in the complex. The landlord ought to be doing other things to provide proper amenities for the complex and its tenants.
- The landlord is not providing adequate services to the tenants and the construction involved in the capital expenditures have resulted in stress for himself and other tenants in the complex. These complaints include:
 - o Infrequent services to tenants, including snow removal, carpet cleaning, laundry machine maintenance, building cleaning, flower bed maintenance;
 - o Inadequate security;
 - o Doors that slam;
 - o Tenant involvement in construction cleanup and inadequate construction cleanup;
 - o Turnover of resident managers;
- The landlord intends on removing laundry and storage facilities for him in the future.

In addition to the above, the tenant identified two issues in the landlord's application. The first was that the application says there is coin operated laundry but it is card operated laundry. The second is that the application states a hallway radiator was installed but he has seen no evidence of a hallway radiator.

iv) Submissions of the Landlord

The landlord originally asked for an increase of 36.07 per cent and the Branch approved only 32.30 per cent. Although this was a *de novo* hearing, the landlord was not asking for an increase which was higher than what was approved by the Branch. The landlord did not dispute any of the findings of the Branch.

The landlord clarified that the radiator was installed in one of the units, not in the hallway.

v) Analysis

Section 124(3) of the *Act* sets out a list of things that must be considered before making an above guideline rent increase order. These include:

- the rent charged immediately before the proposed increase;
- the increase in the landlord's actual expenses, as calculated by the Rent Regulation;
- any change in services and facilities;
- any tenant objection;
- any outstanding repair obligation; and
- the submissions of the parties.

A tenant may object to the application as set out in s. 124 the *Act*, and the reasons for the objection can include:

- The landlord is not maintaining the unit or complex;
- The landlord has reduced or withdrawn a service and facility;
- The landlord is not meeting any other obligation under the tenancy agreement or the *Act*; and
- The tenant believes the landlord's costs have not increased.

Although passionately stated, most of the tenant's evidence or submissions were not relevant to the questions I needed to decide on this appeal.

More particularly, the preamble to the *Act* states that it provides comprehensive code for the regulation of rents. It is the role of the Commission to apply that code. The *Act* and the *Regulation* set out how the interests of tenants and landlords are to be balanced. I cannot ignore the proper application of the *Act* or of the *Rent Regulation* based on the tenant's argument that the code does not adequately address his interests and favours the interests of his landlord.

The code has been amended from time to time to reflect updated financial realities, for example, the guideline amount varies from year to year and is adjusted in accordance with the consumer price index (s. 4.1(1) of the *Rent Regulation*). In addition, the guideline increase was frozen in 2022 and 2023 (s. 120(3) of the *Act*). Notably, the freeze specifically contemplated landlords still being able to apply for above guideline rent increases (information note to s. 120(3) of the *Act*). Other interim amendments have also been made to the *Act* and the *Rent Regulation*, particularly in response to the Covid pandemic, for example to suspend proceedings to evict tenants for non-payment of rent.

The argument that it is inappropriate to allow a rent increase that exceeds the guideline amount is without merit. Above guideline rent increases are one part of the comprehensive code set out in the *Act* and in the *Rent Regulation* to balance the interests of all interested parties.

Above guideline rent increases spread the increase over all of the units in a complex, they do not consider whether the landlord's expenses equally benefit all of the units in a complex (s. 125(2) of the *Act*).

The tenant's arguments that the amenities provided to him, or the state of repair or renovations of the unit or of the complex, did not support that the landlord is in breach of its obligations the tenancy agreement or under the *Act*. There are no outstanding repair orders against the landlord in connection with this complex.

If the landlord removes the tenant's laundry or storage facilities in the future in a manner that is contrary to the *Act*, the tenant can take steps to address those issues at that time. The tenant's concern that these are issues that may arise in the future are not relevant to this appeal.

The terminology used to describe the laundry as "coin operated" instead of "card operated" is not relevant to the calculations the Branch made to determine the percentage of allowable rent increase.

With respect to the tenant's concerns about the radiator, I found that the landlord's evidence that the radiator was installed in one of the units was credible and so this was also not relevant to the calculations the Branch made to determine the percentage of allowable rent increase.

I can adopt the Branch's findings of fact unless one of the parties puts them in issue (s. 168 of the *Act*). The only findings of fact the tenant put in issue was related to the terminology used to describe the laundry as "coin operated" instead of "card operated" and the location of the radiator. I have already found that those issues did not have an impact on the Branch's calculations.

In the circumstances, I have adopted the Branch's findings and confirm the Branch's Order.

VI. Conclusion

Order 2022-005191-010 is confirmed.



Nunziata Masi
Deputy Chief Commissioner

June 22, 2023

Appendix A

The relevant sections of the legislation include:

The Residential Tenancies Act (the Act)

Preamble

...
AND WHEREAS it is in the public interest that the law respecting landlords and tenants and the regulation of rents should be set out in a comprehensive code;
...

PART 9 RENT REGULATION APPLICATION OF THIS PART

Application

115 Except as provided in section 116, this Part applies to rent increases for all rental units, whether or not a rental unit is subject to a tenancy agreement at the time a notice of rent increase is given or an application for a rent increase is made.

RESTRICTIONS ON RENT INCREASES

Unauthorized rent prohibited

117 No landlord shall charge rent and no tenant is liable to pay rent in excess of the amount permitted under this Part.

RENT INCREASE PERMITTED BY THE REGULATIONS

Rent increase in amount permitted by regulation

120(2) A landlord who gives 3 months' notice of a rent increase, as required by subsection 25(1), may increase the rent charged for a rental unit by an amount that does not exceed the maximum increase permitted by the regulations.

Rent freeze for 2022 and 2023

120(3) Despite subsection (2) and the regulations,

(a) no increase in the rent charged for a rental unit is permitted by subsection (2) during the two-year period beginning on January 1, 2022; and

(b) the maximum increase permitted by the regulations during the two-year period is deemed to be nil for the purpose of applying subsection 123(2) in 2022 and 2023.

INFORMATION NOTE

This two-year rent freeze does not prohibit a landlord from increasing the rent in 2022 or 2023 as permitted by an order made under section 123.

RENT INCREASE ABOVE MAXIMUM PERMITTED BY THE REGULATIONS

Application for increase above maximum

123(2) A landlord who desires to increase the rent charged for a rental unit by more than the maximum increase permitted by the regulations shall apply to the director for an order permitting the increase.

Whole building review

123(4) A landlord who applies for an order under subsection (2) shall, as part of the same application, apply for a determination of the rents that may be charged for all of the rental units in the residential complex for the 12 months following the effective date of the first rent increase applied for.

Objection by tenant

124 A tenant who receives notice under subsection 25(1) of a rent increase referred to in subsection 123(2) may, not later than 60 days before the effective date of the intended increase, file an objection with the director on the ground that the rent increase is not justified for one or more of the following reasons:

- (a) the landlord is not maintaining the rental unit or residential complex;
- (b) the landlord has reduced or withdrawn a service and facility;
- (c) the landlord is not meeting any other obligation under a tenancy agreement or this Act;
- (d) the tenant believes the landlord's costs have not increased;
- (e) any other prescribed reason.

Order

125(1) After considering any objection filed by a tenant and the additional factors referred to in subsection (3), the director shall make an order setting the maximum rent increase that may be charged for each rental unit in the residential complex, subject to any conditions the director considers reasonable.

Contents of order

125(2) An order under subsection (1) shall set the total rent increase for the residential complex and apportion that total amongst the rental units in one of the following ways:

- (a) by an equal percentage for each rental unit determined by dividing the total rent increase for the residential complex by the total current rent for all units in the complex multiplied by 100;
- (b) by a dollar amount that is equal for each rental unit; or
- (c) by a dollar amount for each unit that is not more than the maximum increase that would have resulted from a calculation under clause (a) or (b) for the rental unit.

Mandatory considerations in making order

125(3) Before making an order under this section, the director shall consider, in accordance with the regulations,

- (a) the rents charged for the rental units in the residential complex immediately before the proposed increase is intended to come into effect;
- (b) the increase in actual expenses determined in accordance with the regulations;
- (b.1) any rebates, incentives or grants or other benefits, including rebates under The Property Tax and Insulation Assistance Act, received or receivable by the landlord in relation to the services, facilities, privileges or accommodations that the landlord provides for the tenants;
- (c) any change in the services and facilities, privileges, accommodations or things that the landlord provides for the tenants whether or not a separate charge is made for them;
- (d) any ground of objection made by a tenant;
- (e) any finding by the director that the landlord is in contravention of the obligation to repair under subsection 59(1);
- (f) if the residential complex has been sold in the preceding 3 years,
 - (i) whether and to what extent any increases in the costs with respect to repairs and maintenance of the residential complex result from inadequate maintenance in previous years or are reasonably attributable to the cost of performing obligations of the landlord in previous years that have not been performed,
 - (ii) the amount of any rent increases and cost increases in previous years, and
 - (iii) the effect of the accumulation of these costs on the rent increase applied for;
- (g) the submissions and representations made by the landlord and tenant; and
- (h) other prescribed matters.

Other considerations

125(4) Before making an order under this section, the director may consider

- (a) for all rental units in the residential complex,
 - (i) the rents charged and the increases in rents charged, and
 - (ii) the actual expenses of the landlord determined in accordance with the regulations,
 for the 3 year period preceding the date of the application;
- (b) rent increases or parts of rent increases under this Act or The Residential Rent Regulation Act that are reasonably attributable to the cost of performing obligations of the landlord that have not been fulfilled; and
- (c) any other information respecting the operation of the residential complex.

PART 11 PROCEDURES**APPEAL TO THE COMMISSION****Appeal from order of director**

161(1) Except if leave to appeal is required under subsection 160.2(1), or as otherwise provided in this Act or any other Act, any person directly affected by a decision or order of the director may appeal the decision or order to the commission.

Parties

164 The parties to an appeal are the persons directly affected by the decision or order appealed from and any person added as a party by the commission.

Hearing

165(1) The commission shall conduct a hearing in respect of a matter for which a notice of appeal is filed.

Notice of hearing

165(2) The commission shall give reasonable notice of the hearing to the parties and identify the matter in respect of which the hearing will be held.

Procedure

165(3) The Commission shall determine its own practice and procedure but shall give full opportunity to the parties to present evidence and make submissions.

Hearings conducted orally or in writing

165(4) The Commission may conduct a hearing orally, including by telephone, or in writing or partly orally and partly in writing

Adoption of director's findings

168 The commission may adopt the director's findings of fact except insofar as a party to an appeal puts them in issue.

Evidence

169(1) Evidence may be given before the Commission in any manner that the Commission considers appropriate, and the Commission is not bound by the rules of law respecting evidence applicable to judicial proceedings.

Powers of commission on appeal

170(1) After holding a hearing with respect to an appeal, the commission may

- (a) confirm, vary or rescind the decision or order of the director; or
- (b) make any decision or order that the director could have made.

PART 12 GENERAL PROVISIONS

Effect of lack of formality in proceedings

187(1) No proceeding under this Act is invalid by reason only of a defect in form, a technical irregularity or a lack of formality.

Residential Rent Regulation, Regulation 156/92 (the Rent Regulation)

Definitions

1(1) In this regulation,

"Act" means The Residential Tenancies Act;

"economic adjustment factor" means the annual economic adjustment factor prescribed in subsection 7(2);

"revenue" means, in relation to a residential complex, the aggregate of all rents received for rental units in the complex, other than units to which all or part of Part 9 (Rent Regulation) of the Act does not apply because of section 3 or 116 of the Act.

...

Maximum rent increase permitted

4.1(1) For the purpose of subsection 120(2) of the Act, a landlord may increase the rent charged for a rental unit by no more than the amount determined by the following formula and expressed as a percentage, rounded to one decimal place:

$$\text{Maximum permitted rent increase} = 100 \times (A-B)/B$$

In this formula,

- A is the average of the 12 monthly consumer price indexes for the 12-month period ending on June 30 of the year immediately preceding the year in which the rent increase is to take effect; and
- B is the average of the 12 monthly consumer price indexes for the 12-month period immediately before the period described in A.

For this purpose, the monthly consumer price index is the monthly consumer price index for Manitoba (All-items), as published by Statistics Canada under the authority of the Statistics Act (Canada).

4.1(2) If the amount determined under subsection (1) exceeds the inflation-control target range that is adopted by the Bank of Canada and the government of Canada and published by the Bank of Canada, and that is in effect on January 1 of the year the rent increase is to take effect, the maximum permitted rent increase is the maximum target of the range.

4.1(3) If the amount determined under subsection (1) is less than the inflation-control target range referred to in subsection (2), the maximum permitted rent increase is the minimum target of the range

Determining rent increase above guideline

7(1) When an application is made by a landlord under subsection 123(2) of the Act, the director must, in accordance with the Act, this section and sections 8 to 10 and 11 of this regulation, determine the total rent increase for rental units in the residential complex that are not exempt by adding together the following amounts:

1. The change in the operating expenses as determined under section 8, which may be a positive or negative figure.
2. The capital expenses as determined under section 9.
3. The dollar value of any change in services and facilities and other amenities, which may be a positive or negative figure.
4. The greater of
 - (a) one-third of the amount by which the total of operating expenses under section 8 and mortgage interest expenses under section 10 exceeds revenue; and
 - (b) the annual economic adjustment factor multiplied by the revenue.